Ref: Directive 145.A.i (LT)

DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT 1998, (ACT 52 OF 1998)

Addressee:	Long-term insurers		**File:**	10/7/2/1 & 10/17/1	
Edition	**Issue date**	**Effective date**	**Directive**	**Status**	**Withdrawal date**
1st	8/11/2004	8/11/2004	145.A.i (LT)	In force	-
2nd	-	-	-	-	-
3rd	-	-	-	-	-
Subject:	DISREGARDING AMOUNTS REPRESENTING NEGATIVE LIABILITIES IN RESPECT OF LONG-TERM POLICIES WHEN CALCULATING THE VALUE OF ASSETS ACCORDING TO PARAGRAPH 4(iv) OF SCHEDULE 3 TO THE LONG-TERM INSURANCE ACT, 1998				

1. Purpose of the directive

The purpose of this directive is to clarify paragraph 4(iv) of Schedule 3 to the Long-term Insurance Act ("the Act"). The directive aims to address the following:

1. That negative liabilities in respect of long-term policies may be deducted from liabilities, provided that:
   - liabilities (including current liabilities) after such deduction are greater than or equal to zero; and
   - an amount corresponding to the amount deducted from liabilities is added to the TCAR component of the statutory capital adequacy requirement, in accordance with the Actuarial Society of South Africa's Professional Guidance Note 104.
2. The discretionary power within the Act that provides an insurer with the option to deduct the negative liabilities from liabilities.
3. Practical examples of how the negative liabilities should be calculated and treated.
4. Consistent treatment of negative reserves -
   (i) in the statutory returns from year to year;
   (ii) between the statutory returns and the published annual financial statements; and
   (iii) between the statutory returns and the tax returns.

2. Legal framework

Paragraph 4(iv) of Schedule 3 prescribes the following:

"4. **Amounts to be disregarded**.

For the purposes of the calculation of the value of assets -

(b) there shall be disregarded -

(iv) an amount representing a negative liability in respect of a long-term policy in terms of which the long-term insurer concerned provides or undertakes to provide a policy benefit, provided that this provision shall not be construed as precluding the deduction of a negative liability in respect of a long-term policy from liabilities;".

A negative liability in respect of a long-term policy will generally arise when, at any stage in a policy's lifetime, the expected present value of future premiums exceeds the expected present value of future benefits and expenses.

These negative liabilities may be offset at the discretion of the statutory actuary against liabilities of the long-term insurer. Liabilities comprise of contingent liabilities for policy benefits which have not become claimable (called "policyholder liabilities" in this directive) and current liabilities. Since the Act is silent on who, within the insurer, may exercise this power, this Office is of the opinion that the discretionary power lies with the statutory actuary. Provided that the statutory actuary and the Board of the insurer agree on the timing and the circumstances under which the Board must be informed of negative liabilities.

Negative liabilities must be calculated per policy but may then be offset in aggregate against liabilities i.e. a negative liability on (say) a term policy may be used to offset the positive liability on (say) an endowment policy.

If the statutory actuary decides not to offset the negative liabilities those liabilities may not be reflected as an insurance asset either.

3. Practical examples

The allowance to offset the negative policyholder liabilities against liabilities is subject to the insurer holding the necessary reserves as part of its capital requirement as prescribed by the relevant ASSA guidelines.

Assume that a particular insurer has total admissible assets of 1 400, positive policyholder liabilities of 1 000 and current liabilities of 200. The size and treatment of different levels of negative policyholder liabilities are illustrated by the examples in the table below.

Please note that the illustrations below are examples representing different circumstances and that each option illustrates what may be done in that specific circumstance. All options provide the same solvency position as the assets exceed the liabilities by an amount of 200 in all the cases.

		Description	**Example 1**		**Example 2**		**Example 3**
			Option 1-1	**Option 1-2**	**Option 2-1**	**Option 2-2**	**Option 3-1**
		Assets	1 400	1 400	1400	1 400	1 400
		Positive policyholder liabilities	1 000	1 000	1 000	1 000	1 000
	-	Negative policyholder liabilities	300	0*	0*	1 100	1 200*
	+	Current liabilities	200	200	200	200	200
-	=	Liabilities	900	1 200	1 200	100	0
=		Excess Assets	500	200	200	1 300	1 400
-		CAR (TCAR)	300	0	0	1 100	1 200
=		Free Assets	200	200	200	200	200
		CAR cover (Excess Assets ÷ CAR)	1.67	-	-	1.18	1.17
		Note: * Actual negative policyholder liabilities	300	300	1 100	1 100	1 300

Example 1

In example 1 the negative policyholder liabilities are smaller than the positive policyholder liabilities. An insurer may offset negative policyholder liabilities against positive policyholder liabilities as long as the corresponding amount is available in the capital adequacy requirement (CAR) as prescribed by the TCAR calculation in PGN104, as illustrated by option 1-1. In Option 1-2 the statutory actuary decides to show a zero policyholder liability notwithstanding the fact that there are negative policyholder liabilities. This increases the liabilities, but no additional reserves need to be held in the CAR since no negative policyholder liabilities were deducted. Please note that the negative policyholder liabilities may not be shown as an insurance asset.

Example 2

In this example the negative policyholder liabilities exceed the positive policyholder liabilities.

If the negative policyholder liabilities are greater than the positive policyholder liabilities the statutory actuary may decide to show a zero policyholder liability (as illustrated by option 2-1) similar to that of option 1-2.

The statutory actuary may however decide to offset the negative policyholder liabilities against the positive policyholder liabilities and current liabilities. Additional reserves must be set up in the CAR to ensure that no policy has a negative liability, as prescribed by PGN104. This is illustrated by option 2-2.

If the final CAR figure (depending on which of the TCAR or OCAR basis provides the higher result) is less than the negative policyholder liabilities, the statutory actuary needs to provide an explanation in the statutory return.

Example 3

In this case the negative policyholder liabilities are greater than the sum of the positive policyholder liabilities and the current liabilities. Although not illustrated, the statutory actuary may still decide to show a zero policyholder liability similar to that of option 1-2.

The statutory actuary may offset the negative policyholder liabilities against the liabilities, but only to such an extent that the liabilities are equal to zero. A full explanation, including disclosure of the total amount of negative policyholder liabilities, should be given in the statutory return.

If the final CAR figure (depending on which of the TCAR or OCAR basis provides the higher result) is less than the negative policyholder liabilities shown, the statutory actuary needs to provide an explanation in the statutory return.

4. Treatment of negative reserves

The insurer must apply its policy for the treatment of negative reserves consistently in the statutory return from year to year. If this policy is changed in future, the fact that it has changed, together with reasons for the change, must be disclosed to the Registrar in the statutory return.

Due to statutory requirements and accounting practices, there may be differences between the disclosure in the statutory return and in the insurer's published annual financial statements. This means that differences would arise because of reallocation and not recalculation of the figures. The differences are further explained in Directive 140.B.i (LT).

The same liabilities that are shown in the annual statutory return to the Registrar must be reflected in the long-term insurer's tax returns (subject to any deferred tax adjustment – see Directive 140.B.i (LT)). Therefore, if an insurer offsets the negative liabilities for solvency requirements it must also offset the negative liabilities for tax purposes. Similarly, if an insurer does not offset the negative liabilities for solvency requirements it may also not offset the negative liabilities for tax purposes.

5. Information sharing

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.

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